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What's News

Business & Finance

- ◆ **The Fed entered a new holding pattern on interest rates and signaled little urgency to resume cuts after contentious reductions at officials' three previous meetings. A1**
- ◆ **Gold leapt to a record and U.S. stocks finished mixed, with the Dow inching higher by less than 0.1%, the S&P 500 slipping less than 0.1%, and the Nasdaq rising 0.2%. B1**
- ◆ **Tesla reported a 61% drop in profit for the fourth quarter and said that it would plow \$2 billion into xAI, Elon Musk's private artificial-intelligence firm. A1**
- ◆ **Meta Platforms reported record sales for the fourth quarter and a massive increase in projected 2026 spending as it proceeds with an ambitious AI expansion. B1**
- ◆ **Microsoft reported better-than-expected earnings for its fiscal second quarter, propelled by its new deal with OpenAI, and posted revenue of \$81.3 billion. B1**
- ◆ **Amazon.com said it would cut around 16,000 corporate employees, the latest step in the company's efforts to reduce its workforce. B1**
- ◆ **Barry Diller approached Warner Bros. Discovery last year expressing interest in buying CNN, though no serious action was taken on the inquiry and it wasn't communicated to the Warner board. B1**
- ◆ **Starbucks reported growth in same-store sales across its regions for the three months ended Dec. 28. B3**
- ◆ **First Brands secured an emergency cash infusion from some of its largest customers to keep the bankrupt auto-parts supplier afloat. B2**

Worldwide

- ◆ **Two Border Patrol agents who fired shots at Alex Pretti in a fatal encounter in Minneapolis last weekend were placed on administrative leave. A4**
- ◆ **Following the shooting, Trump and his aides are rushing to limit the political damage and shift their strategy in Minnesota. A1**
- ◆ **A new video emerged of an earlier altercation in which Pretti appeared to kick in the tail light of an SUV occupied by federal agents. A4**
- ◆ **Senate Democrats laid out their demands for an overhaul of immigration enforcement days ahead of a deadline to pass a \$1.3 trillion package of spending bills that would avert a partial government shutdown. A4**
- ◆ **Two-thirds of voters ages 18-29 disapprove of Trump's priorities and approach to foreign policy, according to a Wall Street Journal poll. A5**
- ◆ **FBI agents searched the main election office in Fulton County, Georgia, seeking records related to the 2020 presidential election as the administration presses efforts to re-examine Trump's loss. A3**
- ◆ **Mayor Mamdani said New York City is facing a \$10 billion projected deficit and will push state lawmakers to raise taxes to close the hole. A3**
- ◆ **China approved purchases of Nvidia's H200 artificial-intelligence chip, authorizing their supply to several of the company's Chinese customers. A2**
- ◆ **U.S. asylum was granted to a man who fled China after gathering evidence of alleged human-rights violations against the Uyghurs. A2**

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Fed Holds Key Interest Rate Steady

Central bank offers little clarity on when easing will resume; 2 officials wanted cut

By NICK TIMIRAOS

WASHINGTON—The Federal Reserve entered a new holding pattern on interest rates Wednesday and signaled little urgency to resume cuts after contentious reductions at officials' three previous meetings. The decision to hold the benchmark federal-funds rate steady in a range between 3.5%

and 3.75% was approved on a 10-2 vote.

Fed Chair Jerome Powell said recent data had painted a somewhat brighter picture than officials had at their last meeting, with stronger economic growth and tentative signs of labor-market stabilization.

The comments suggest officials are comfortable staying put for some time—until new signs of labor-market weakness emerge or inflation convincingly makes progress toward the Fed's goal.

"We're not trying to articulate a test for when to next

cut...What we're saying is we're well positioned," Powell said at a news conference.

The decision, widely expected by investors, barely registered in markets. Major stock indexes were little changed, and the yield on the benchmark 10-year Treasury note edged up to 4.25% from 4.224% on Tuesday.

Without further labor market weakening, the next cut might not come until after Powell's term as Fed chair ends in May. "They're likely on hold for a while unless there's a big surprise," said William English, a former senior Fed economist.

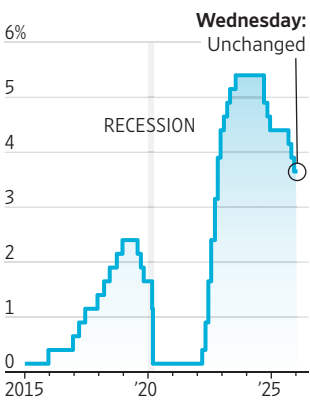
The Fed has navigated between competing risks for months. Inflation slowed in 2023 and 2024 but then stalled out above the central bank's 2% goal over the past year, arguing for patience. Meanwhile, concerns over a cooling labor market prompted last year's three cuts.

"We still have some tension between employment and inflation, but it's less than it was," Powell said.

Job growth has slowed

◆ James Mackintosh: Can the bull market run?..... B1

Federal-funds rate target



Note: Chart shows midpoint of target range. Source: Federal Reserve

Israel Mourns Last Hostage Returned by Hamas



PAINFUL CHAPTER: The casket of Ran Gvili, whose remains were finally brought back to Israel, was loaded into a hearse in Meitar on Wednesday. The 24-year-old police officer was killed while fighting Hamas militants during the Oct. 7, 2023, attack.

Trump Playbook Backfires in Minnesota

By ANNIE LINSKEY AND ALEX LEARY

WASHINGTON—President Trump rose to power in real estate, reality television and politics following a simple creed in moments of crisis: Cede no ground, never admit mistakes and attack.

In the hours after a federal immigration agent shot and killed a 37-year-old intensive-care nurse in Minneapolis, the

president's top advisers followed their boss's playbook—and it backfired.

Now, Trump and his aides are rushing to limit the political damage, as they point fingers and shift their strategy in Minnesota.

The administration's harsh language—top officials called Alex Pretti a domestic terrorist who was trying to massacre law enforcement agents—has been replaced with calls to

ease tensions in Minneapolis after weeks of high-profile standoffs between protesters and federal officials.

Trump is planning to instead focus on fraud in the state and ratchet up criticism of state and local leaders, according to administration officials. The president criticized his own administration's on-the-ground commander during the shootings, calling Gregory Bovino "a pretty out-

there kind of a guy."

Trump's softer tone has left senior immigration officials in the White House and the Department of Homeland Security trying to explain why they offered inaccurate descriptions of the facts on the ground after

◆ Border Patrol agents in shooting put on leave.... A4
◆ Video shows Pretti in earlier altercation..... A4

Dollar's Big Decline Poses Risks To U.S. Prestige, Business Earnings

By DAVID UBERTI AND CHELSEY DULANEY

Carol Tricoche shielded her clients from a big risk in December, when the Oregon travel advisor locked in a 10-person group's upcoming five-night stay in London at the then-exchange rate. Since then, the value of the dollar has plunged.

"If the dollar changes, your hotel cost goes up. With me, you're locked in," Tricoche said, adding that the currency's recent weakness has added to pressure on less af-

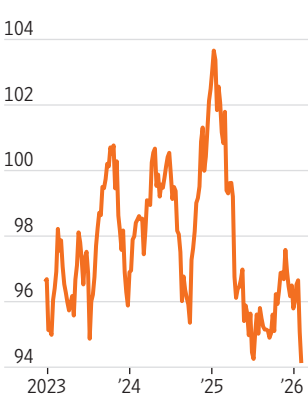
fluent Americans hoping to go abroad. "Those aren't the folks I'm seeing right now."

The dollar's slide to its lowest level in years has renewed fears about the U.S.'s pre-eminent position in global markets, spurred conflicting statements from the White House, and shifted the math behind everything from international travel to U.S. corporate profits to European furniture exports.

Wall Street is betting there

◆ Heard on the Street: Dollar is losing buoyancy..... B11

WSJ Dollar Index



Source: Dow Jones Market Data

INSIDE



JASON GAY
Bill Belichick's baffling Hall of Fame snub: Is it cold revenge? **A16**

A Viral Boy Band Needs One More Fan: the U.S. Government

◆ Group is on a quest to show they meet 'extraordinary' threshold for landing a visa ◆

By MICHELLE HACKMAN

In the parlance of U.S. immigration law, "extraordinary ability" typically refers to Olympic athletes, top scientists or renowned artists. A fledgling boy band is hoping that going viral counts, too.

If you've been on the internet in the past few months,

chances are you've scrolled past them: four 20-somethings, clad in Pepto-pink velour track suits and yellow sneakers, dancing and harmonizing.

Evan Papier, Anthony Key, Zachary Sobania and Darshan Magdum debuted Boy Throb on TikTok in November. Their profile was unassuming but their splurges on the occasional lux-

A Doom Loop Of Deflation Traps China's Economy

Exports drive growth while competition from overproduction hits prices

By HANNAH MIAO

SHANGHAI—Hundreds of vendors at Shanghai's largest clothing market were busy. But they weren't making sales. They were processing returns.

At Qipu Road Wholesale Clothing Market, wholesalers send shipments of sweaters, dresses and pants to retailers all over the country. Stores pay for what they sell, and send back what they don't.

Lately, vendors say, little sells. On a recent weekday, delivery men dragged trolleys stacked with returned clothing through the halls. Vendors tallied the piles.

Wang Jingjing, a womenswear wholesaler, estimated her 2025 revenue was about half what she made the prior year. Before the pandemic, business was strong enough to hire four employees. Now she has only one, and even that feels like too many. The 40-year-old mother of two teenagers said she no longer splurges on the occasional lux-

ury bag, and instead lives frugally, ordering cheap takeout from food delivery apps.

"Ordinary people have no money in their pockets, including us," she said.

Across China's economy, consumers aren't spending enough and producers are making too much. That leaves companies all along the supply chain earning less. Many feel they have no choice but to lower prices to unload inventory, eating into profits.

With less money on hand, businesses are limiting wage growth, pausing hiring and shedding employees, which means workers have less to spend, continuing the cycle.

China managed to keep overall economic growth steady at 5% last year thanks to robust exports. The country is making extraordinary leaps in cutting-edge technology, from artificial intelligence to

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◆ Xi struggles to curb military corruption..... A9